

Requirement: Card Dispute Management

Version 1.2 - Sponsor Card Services & Compliance - Status Approved

#1. Business objective

Members currently file card disputes by phone only, and tracking is manual. Compliance risk is growing because

Regulation E deadlines are tracked in spreadsheets. We want end-to-end dispute intake, tracking, provisional

credit, and resolution in the member portal and agent console, with the regulatory clock enforced by the system.

#2. Functional requirements

- FR-1 Dispute intake (member). A member can file a dispute from online banking: select one or more card

transactions, choose a reason category (fraud/unauthorized, duplicate charge, wrong amount, goods not received,

other), enter a description, and upload supporting documents (PDF or JPG, up to 5 files, 10 MB each).

- FR-2 Case creation. Each dispute creates a case with a unique reference number. The member sees all their

disputes in a list with current status and can open a case to see its history.

- FR-3 Dispute intake (agent). A member service agent can file a dispute on a member's behalf from the agent

console; the channel (phone, branch, online) is recorded on the case.

- FR-4 Status notifications. The member is notified at submission, provisional credit, request-for-information,

and resolution - by email and by push notification, according to the member's notification preferences.

- FR-5 Provisional credit. For eligible debit-card disputes, provisional credit is issued within 10 business

days of intake. If the dispute is denied, the provisional credit is reversed with at least 5 business days'

advance notice to the member.

- FR-6 Resolution. An analyst resolves a case as approved (credit made permanent) or denied. A denial produces

a letter stating the reason, and the member may request copies of the evidence relied upon.

#3. Business rules

- BR-1 A transaction can be disputed only within 60 days of the statement date on which it first appeared.

- BR-2 The same transaction cannot have two open disputes (duplicate prevention with a clear message).

- BR-3 Reason category is mandatory; a description is mandatory when the reason is "other".

- BR-4 If the reason is fraud/unauthorized, the card is blocked immediately and a replacement card is offered.

- BR-5 Disputes under \$25 are auto-approved as a write-off, unless the member has had more than 3 disputes in the last 90 days.

#4. Non-functional requirements

- NFR-1 Audit. Every action on a case (create, update, credit, reverse, resolve) is audited with user, date/time, and channel; audit records are retained for 7 years.
- NFR-2 Regulatory clock. Intake timestamps drive the Regulation E deadlines; a compliance dashboard flags cases at risk of breaching the 10-business-day provisional-credit deadline.
- NFR-3 Permissions. Members see only their own disputes. Agents require the "Disputes" permission to file on behalf of a member; the fraud queue is visible only to the fraud team.
- NFR-4 Availability. If the case system is unavailable, intake requests are queued; the member receives their reference number within 24 hours.
- NFR-5 Reporting. A monthly report of dispute volume, aging, and outcomes is produced for Compliance.